matter of pride to see the Defence Research and Development Organization, other defence-related public sector undertakings and the private sector reaching significant milestones in these fields. There is a case for opening maximum areas of defence production, except certain strategic and sensitive domains, to the private sector. Our vision should be an India having a self-reliant defence industrial base, which will place us in the league of leading military industrial powers in times to come.

Though India has one of the largest arms industries in the developing world, the volume of defence exports is negligible. At the same time, we are amongst the largest importers of arms. Therefore we need to look into this important domain. Besides being instruments of foreign policy, arms exports are also driven by domestic economic imperatives. The high profits involved in such sales are an important factor in spurring new ideas and innovations by the armament industry and the private sector in the West. Also, by exporting, the industry can recover at least a part of the cost of research and development as well as reduce the cost of the production through economies of scale. Having visited a number of defence exhibitions in Europe and India, I feel that this is a great opportunity that we haven't seized. China has gone far ahead of us in this field. We must take our cue from them and gain influence among the developing countries by meeting their defence needs. Most of these countries can neither afford the expensive state-of-the-art Western arms and equipment nor have the need for them, and would be satisfied with what we are producing, which is cheaper, effective and reasonably advanced. We could also share our expertise in improving, adapting and servicing of equipment of common origin. We need to create a 'defence export board' or corporation, which should be an autonomous body chartered to enhance our defence exports, keeping in mind our national interests.

Post independence, the role of the armed forces in nation-building has been phenomenal. As an organization, the Indian Army has been a role model. Our principles, based on the three pillars of